AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Tesla

NASDAQ : TSLA · Mature-Company DCF

$1450.19B mkt cap · 3.75B sh · $44.1B cash, $1.6B debt · $44.1B cash vs ~$1.6B debt (~$42.5B net cash); ~3,752M shares; Revenue $94.8B TTM); FY25 (-3%, second down year); GAAP op margin compressed to 4.6% (from 16.8% in 2022); FCF ~$6.2B; ~$375 (down ~17% YTD, -16% TTM); ~$1.4T market cap trades on the autonomy/robot narrative, not auto fundamentals

22 October 2026 · the qualitative

**$386.47**

## THE CENTRAL QUESTION

At ~$1.4T on a declining ~$95B auto base earning 4.6% margins, does the price hold on auto+energy fundamentals, or only if unsupervised autonomy and Optimus ship into real revenue?

Tesla trades at ~$1.4T (~$375, -16% TTM) - ~14x EV/sales on $94.8B revenue that fell ~3% in FY25, the second straight delivery decline (1.64M, -8.6%), with GAAP operating margin compressed to 4.6% from 16.8% in 2022. The DCF underwrites only the auto+energy cash flows; on those fundamentals the weighted finding is ~$101 (-73%). The robotaxi/FSD/Optimus optionality is real but lives entirely in the ultra-bull second act, and even that lands +2%. What you pay above ~$100 is the autonomy/robot option, not the car business - the modal case, an auto maker re-rating toward an auto multiple, is deeply negative.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -78.4% · 100% at or below spot

**$101.42**

expected fair value today

-73.8% vs spot $386.47

### FORWARD COMPOUNDED VALUE

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $161.20 | $256.45 | $408.36 | $650.87 |
| 0.42× spot | 0.66× spot | 1.06× spot | 1.68× spot |

### WEIGHTING RATIONALE

**Ultra Bear 18%** Deliveries keep falling; pure auto multiple; ~$26 (-93%).
**Bear 30%** Auto stabilizes, energy grows, no autonomy revenue; ~$46 (-88%).
**Base 30%** Growth resumes, margins heal, autonomy begins; ~$83 (-78%).
**Bull 14%** FSD ships, robotaxi scales, software margins; ~$194 (-48%).
**Ultra Bull 8%** Robotaxi + Optimus + energy compound into a platform; ~$383 (+2%).

Bull (14%) + Ultra Bull (8%) together contribute $57.73 — 57% of the $101.42 expected value despite 22% combined probability. Today's spot ($386.47) sits 281% above the weighted expected; the forward-weighted value reaches spot in about 14 years.

### PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




## ULTRA BEAR — $26.42

-93.2% vs spot

CAGR +1.1% WACC 11.5%
CAGR +1.1% Prob 18%

Deliveries keep falling; pure auto multiple.

## BEAR — $46.40

-88.0% vs spot

CAGR +7.2% WACC 10.5%
CAGR +7.2% Prob 30%

Auto stabilizes; energy grows; no autonomy revenue.

## BASE — $83.38

-78.4% vs spot

CAGR +13.0% WACC 10.0%
CAGR +13.0% Prob 30%

Growth resumes; margins heal; autonomy begins.

## BULL — $193.76

-49.9% vs spot

CAGR +21.8% WACC 9.5%
CAGR +21.8% Prob 14%

FSD ships; robotaxi scales; software margins.

## ULTRA BULL — $382.51

-1.0% vs spot

CAGR +28.6% WACC 9.0%
CAGR +28.6% Prob 8%

Robotaxi, Optimus, energy compound; platform.

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# Tesla scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 18% Bear 30% Base 30% Bull 14% Ultra Bull 8% · Weighted expected $101.42 (-73.8% vs spot)

## ULTRA BEAR $26.42

-93.2% vs spot

Probability 18%

### Deliveries keep falling; pure auto multiple.

#### WHY 18%

The fundamentals-only floor: two straight delivery declines, Q1'26 FCF negative, beats leaning on warranty true-downs and tariff relief, and the moonshots still slipping. 18% weight on the auto franchise simply re-rating to an auto multiple.

#### WHAT HAPPENS

The auto base keeps eroding: deliveries fall again as BYD/VW take share and Europe stays depressed (EU registrations -17%, 13th straight monthly decline), the affordable Model Q slips further, and price cuts hold operating margin near the depressed 4.6%. None of robotaxi, unsupervised FSD, or Optimus reaches material revenue inside the window.

A shrinking car maker with single-digit margins earns a low-double-digit FCF / mid-single EV/sales multiple - DCF ~$26 (-93%). Even ~$42.5B net cash is immaterial against a ~$1.4T price built on optionality that doesn't arrive.

## BEAR $46.40

-88.0% vs spot

Probability 30%

### Auto stabilizes; energy grows; no autonomy revenue.

#### WHY 30%

The plausible 'auto recovers, robots don't ship in time' path: energy is genuinely compounding and margins can heal, but autonomy keeps slipping (v15 to summer, unsupervised FSD to Q4 at earliest). 30% as the central fundamentals outcome.

#### WHAT HAPPENS

Deliveries stop falling and resume mid-single-digit growth as the Model Q finally ships, energy storage keeps compounding (+25% YoY, high-margin), and operating margin recovers toward 9% - a respectable car-plus-energy business, but FSD stays supervised and robotaxi stays a ~20-34-vehicle pilot, so no autonomy revenue enters the model.

DCF ~$46 (-88%) - even a healthier auto+energy franchise at a premium auto multiple (~14-16x FCF) is worth a fraction of today's price; the gap is the un-modeled optionality, not the car business.

## BASE $83.38

-78.4% vs spot

Probability 30%

### Growth resumes; margins heal; autonomy begins.

#### WHY 30%

Requires the auto base to inflect AND margins to recover AND early autonomy revenue - credible given the product pipeline and FSD-data flywheel, but each leg is currently slipping. 30% as the central, still-deeply-negative outcome.

#### WHAT HAPPENS

Volume re-accelerates to low-teens as the affordable model expands the addressable market and energy scales, lifting operating margin back toward the mid-teens; FSD monetization and an early robotaxi ramp begin to contribute, so the business carries a richer-than-auto multiple - but the second act is just starting, not at scale.

DCF ~$83 (-78%) - the modal case. A re-accelerating Tesla with healing margins and the first autonomy dollars is worth far more than the bear, yet still ~four-fifths below spot, because even this constructive fundamentals path doesn't justify ~$1.4T.

## BULL $193.76

-49.9% vs spot

Probability 14%

### FSD ships; robotaxi scales; software margins.

#### WHY 14%

The Power-gated second act: durable FSD-data process power plus the robotaxi/licensing model, if autonomy actually ships and scales. Real but every 2026 datapoint shows it slipping. 14% weight on the platform thesis landing within the window.

#### WHAT HAPPENS

Unsupervised FSD clears regulators and ships, the robotaxi fleet scales out of pilot into real ride-hail revenue, and high-margin software/licensing lifts blended operating margin toward 20% on >20% revenue growth - the platform repricing the autonomy bulls underwrite. Optimus and energy add to a real second revenue stream.

DCF ~$194 (-48%) - the first scenario where a genuine software/autonomy platform multiple (~19-24x FCF) is in the numbers, yet the entry price still embeds more than this delivers; the autonomy win is necessary but, at ~$1.4T, not sufficient.

## ULTRA BULL $382.51

-1.0% vs spot

Probability 8%

### Robotaxi, Optimus, energy compound; platform.

#### WHY 8%

Everything ships and scales - robotaxi AND Optimus AND energy AND a platform re-rate, the autonomy bull's complete thesis. ~8%, the long-duration tail that the current price already embeds.

#### WHAT HAPPENS

The full second act: unsupervised autonomy scales nationally into a high-margin ride-hail + FSD-licensing business, Optimus reaches volume as a non-auto TAM, and energy compounds - revenue grows ~30% at platform margins toward the mid-20s, the AI/robotics company the narrative prices.

DCF ~$383 (+2%) - only when ALL of robotaxi, Optimus, and energy compound into a true platform at a ~23-28x FCF multiple does the model reach today's price. That this best case only just clears spot is the finding: ~$1.4T fully prices the moonshots succeeding.

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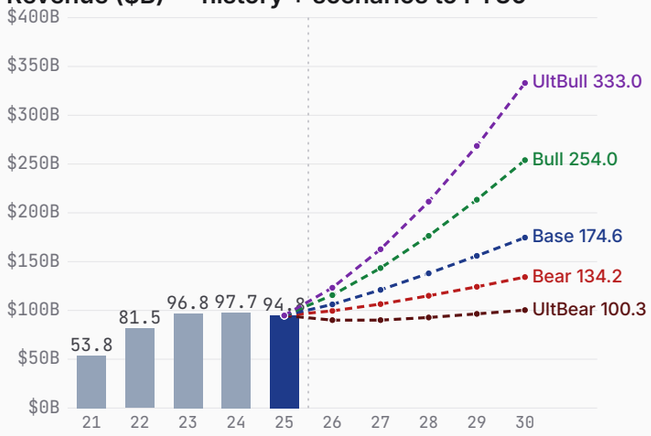
# Tesla business snapshot



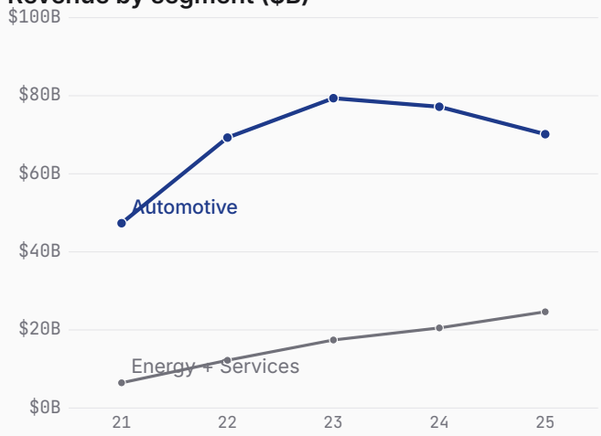
Bear $46.40 Base $83.38 Bull $193.76

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results (Apr 2026)

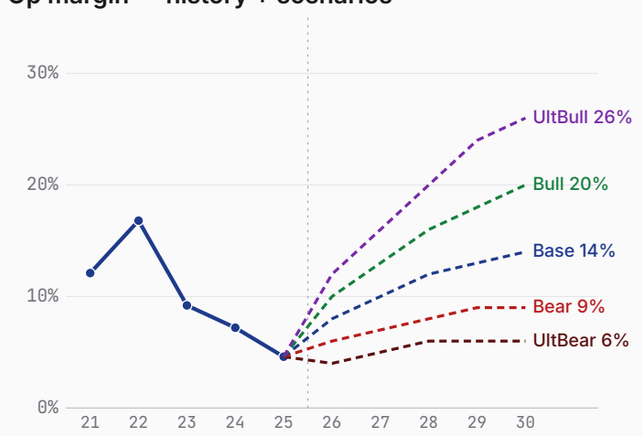
## Revenue ($B) — history + scenarios to FY30



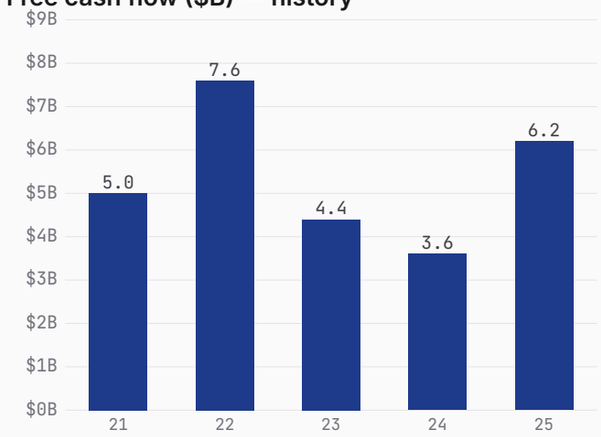

## Revenue by segment ($B)



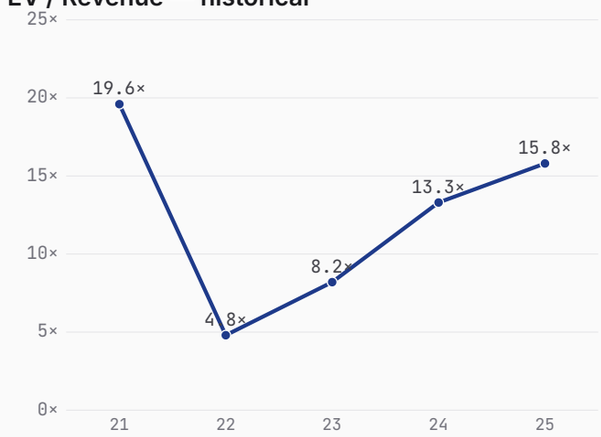

## Op margin — history + scenarios



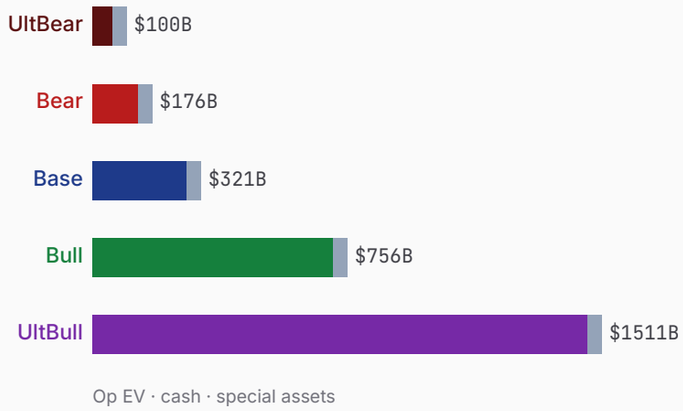

## Free cash flow ($B) — history




## EV / Revenue — historical




## Equity build (Op EV + net cash)




Sources: SEC XBRL company facts (CIK 1318605; revenue, GAAP operating income/margin, cash flow, debt), Tesla Q1 2026 release (revenue $22.39B +16% YoY, deliveries 358,023 +6.5% YoY but -14% sequentially, FCF negative, FY25 deliveries 1.64M -8.6%, now smaller than BYD). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs auto peers (Toyota, BYD, VW) and the autonomy/AI names the multiple implies.

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# Tesla 7 Powers · the moat, scored



Bear $46.40 Base $83.38 Bull $193.76

**Arena.** Global autos + autonomy/AI - Tesla (premium EV brand, FSD-data scale, energy storage) vs Toyota, BYD, Volkswagen in autos and Waymo and the autonomy/robotics field in the second act; auditing a branding + nascent process Power against auto-multiple compression.

**POWER AUDIT**
dominant-power durability: medium

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** ■■■ | Real manufacturing scale (~1.6M units, gigacasting, vertically integrated batteries) and the largest charging network, but volume is now declining and below BYD. |
| **Network Economies** ■□□ | Supercharger access and fleet effects are mild; cars aren't a network - the FSD data flywheel is the closest thing and is counted as process power. |
| **Counter-Positioning** ■□□ | Was the EV disruptor legacy autos couldn't follow; now the incumbent being counter-positioned on price by BYD and on EVs by everyone. |
| **Switching Costs** ■□□ | Weak in autos (next car is a fresh decision); modest stickiness from Supercharging and the app/software ecosystem. |
| **Branding** ◂ thesis leans here ■■■ | A genuine premium/technology brand with pricing power and a devoted base, but eroding in Europe (registrations -17%, 13th straight monthly decline) and politically polarized. |
| **Cornered Resource** ■■□ | Fleet-scale real-world driving data and battery/charging assets - valuable and hard to replicate, though contestable as rivals scale data and fast-charging. |
| **Process Power** ■■□ | Nascent and the bull's swing factor: manufacturing know-how plus the FSD-data/AI training loop - potentially durable if autonomy ships, unproven at unsupervised scale. |

## PEER SET

**BYD** — 20% gr · 6% mgn · ~20x P/E
Now the larger EV maker; cost leader taking global share, especially outside the US - the core auto-compression threat.

**Toyota** — 5% gr · 10% mgn · ~9x P/E
Scale/quality benchmark; hybrid-led, slow on EVs but vast cash generation - the mature-auto multiple Tesla is measured against.

**Volkswagen** — 2% gr · 5% mgn · ~4x P/E
Legacy scale leader pushing EVs hard in Europe, where Tesla's brand is weakening.

**Waymo (Alphabet)** — · private
Furthest-ahead robotaxi operator; the benchmark for whether Tesla's autonomy second act can actually scale.

## THREAT VECTORS · FALSIFIERS

**Branding** · BYD / Volkswagen (price + EV share)
falsifier: Deliveries decline a third year as BYD/VW take share and Europe registrations keep falling.

**Process Power** · Waymo / autonomy slipping
falsifier: Unsupervised FSD and robotaxi keep slipping past 2027, so the data flywheel never converts to autonomy revenue.

**Scale Economies** · BYD cost leadership
falsifier: Operating margin stays below ~8% as price cuts continue and volume growth doesn't return.

### COMPETITIVE READ

Tesla's strongest Power is its premium brand, backed by a nascent FSD-data process Power - but the brand is eroding in Europe, volume now trails BYD, and on the auto+energy fundamentals operating margin has compressed to 4.6% across two straight delivery declines. The Audit: branding is durable (medium) and process_power is the live swing factor (the autonomy flywheel), but the threat that dominates the cash flows is auto-multiple compression. The DCF underwrites only those fundamentals and lands ~-73%; the robotaxi/FSD/Optimus optionality sits entirely in the ultra-bull second act, and even full platform success lands +2% - so the ~$1.4T price embeds the moonshots succeeding, not the car business.

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# Tesla show your work

Bear $46.40 Base $83.38 Bull $193.76 · Weighted $101.42 (-73.8%)

## ULTRA BEAR $26.42

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +1.1 |
| Year-5 op margin (%) | 6.0 |
| WACC (%) | 11.5 |
| Terminal growth (%) | 2.5 |
| Terminal FCF ($B) | $6.02B |
| Starting revenue ($B) | 94.80 |
| Scenario probability (%) | 18 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 90.06 | +4% | +3.60 | +3.23 |
| FY27 | 90.06 | +5% | +4.50 | +3.62 |
| FY28 | 92.76 | +6% | +5.57 | +4.01 |
| FY29 | 96.47 | +6% | +5.79 | +3.75 |
| FY30 | 100.33 | +6% | +6.02 | +3.49 |

| | |
|---|---|
| Σ PV explicit FCF | +18.11 |
| + PV terminal (g 2.5%) | 39.78 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $57.89B |
| + Cash & investments | $44.10B |
| − Total debt | $1.60B |
| = Equity value | $100.39B |
| FY30 shares (M) | 3,800 |
| **= Expected per share** | **$26.42** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $45.53 | $78.47 | $135.22 | $233.04 |
| 0.12× | 0.20× | 0.35× | 0.60× |

## BEAR $46.40

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +7.2 |
| Year-5 op margin (%) | 9.0 |
| WACC (%) | 10.5 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $12.07B |
| Starting revenue ($B) | 94.80 |
| Scenario probability (%) | 30 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 99.54 | +6% | +5.97 | +5.41 |
| FY27 | 106.51 | +7% | +7.46 | +6.11 |
| FY28 | 115.03 | +8% | +9.20 | +6.82 |
| FY29 | 124.23 | +9% | +11.18 | +7.50 |
| FY30 | 134.17 | +9% | +12.07 | +7.33 |

| | |
|---|---|
| Σ PV explicit FCF | +33.16 |
| + PV terminal (g 3.0%) | 100.66 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $133.82B |
| + Cash & investments | $44.10B |
| − Total debt | $1.60B |
| = Equity value | $176.32B |
| FY30 shares (M) | 3,800 |
| **= Expected per share** | **$46.40** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $76.44 | $125.93 | $207.47 | $341.79 |
| 0.20× | 0.33× | 0.54× | 0.88× |

## BASE $83.38

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +13.0 |
| Year-5 op margin (%) | 14.0 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 3.5 |
| Terminal FCF ($B) | $22.70B |
| Starting revenue ($B) | 94.80 |
| Scenario probability (%) | 30 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 106.18 | +8% | +7.43 | +6.76 |
| FY27 | 121.04 | +10% | +10.89 | +9.00 |
| FY28 | 137.99 | +12% | +15.18 | +11.40 |
| FY29 | 155.92 | +13% | +18.71 | +12.78 |
| FY30 | 174.64 | +14% | +22.70 | +14.10 |

| | |
|---|---|
| Σ PV explicit FCF | +54.04 |
| + PV terminal (g 3.5%) | 224.46 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $278.50B |
| + Cash & investments | $44.10B |
| − Total debt | $1.60B |
| = Equity value | $321.00B |
| FY30 shares (M) | 3,850 |
| **= Expected per share** | **$83.38** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $134.28 | $216.27 | $348.30 | $560.94 |
| 0.35× | 0.56× | 0.90× | 1.45× |

## BULL $193.76

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +21.8 |
| Year-5 op margin (%) | 20.0 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $50.80B |
| Starting revenue ($B) | 94.80 |
| Scenario probability (%) | 14 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 115.66 | +10% | +10.41 | +9.51 |
| FY27 | 143.41 | +13% | +17.21 | +14.35 |
| FY28 | 176.40 | +16% | +26.46 | +20.15 |
| FY29 | 213.44 | +18% | +38.42 | +26.72 |
| FY30 | 254.00 | +20% | +50.80 | +32.27 |

| | |
|---|---|
| Σ PV explicit FCF | +103.00 |
| + PV terminal (g 4.0%) | 610.18 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $713.18B |
| + Cash & investments | $44.10B |
| − Total debt | $1.60B |
| = Equity value | $755.68B |
| FY30 shares (M) | 3,900 |
| **= Expected per share** | **$193.76** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $305.02 | $480.18 | $755.92 | $1,190.00 |
| 0.79× | 1.24× | 1.96× | 3.08× |

## ULTRA BULL $382.51

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +28.6 |
| Year-5 op margin (%) | 26.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 4.5 |
| Terminal FCF ($B) | $86.59B |
| Starting revenue ($B) | 94.80 |
| Scenario probability (%) | 8 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 123.24 | +12% | +12.32 | +11.31 |
| FY27 | 162.68 | +16% | +22.77 | +19.17 |
| FY28 | 211.48 | +20% | +40.18 | +31.03 |
| FY29 | 268.58 | +24% | +61.77 | +43.76 |
| FY30 | 333.04 | +26% | +86.59 | +56.28 |

| | |
|---|---|
| Σ PV explicit FCF | +161.54 |
| + PV terminal (g 4.5%) | 1306.89 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $1468.43B |
| + Cash & investments | $44.10B |
| − Total debt | $1.60B |
| = Equity value | $1510.93B |
| FY30 shares (M) | 3,950 |
| **= Expected per share** | **$382.51** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $588.54 | $905.54 | $1,393.29 | $2,143.74 |
| 1.52× | 2.34× | 3.61× | 5.55× |

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# Tesla People · Opportunity · Context · Deal

Bear $46.40 Base $83.38 Bull $193.76

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

### Elon Musk

18 yrs in seat

**13%**
insider ownership

**HIGH**
key-person risk

**Capital allocation (realized)**
No dividend, no buyback in company history; cash is plowed into capex and AI/compute. FY2024 capex ~$11.3B (~$5B AI); spend guided AI/robotics-tilted (~$20-25B/yr toward robotaxi, Optimus, compute). The in-house Dojo supercomputer was disbanded (Aug 2025) and compute outsourced to Nvidia/AMD/Samsung. Prior major M&A was the 2016 all-stock SolarCity buy (~$2.1B), a related-party deal (Musk was SolarCity chairman and largest holder) upheld entirely fair by Delaware (2022/2023). Stock-based comp is large and episodic via the CEO awards.

**Incentive alignment**
Base salary $0 since 2019; pay is 100% milestone stock options. The 2018 CEO Performance Award (options on ~304M split-adjusted shares at $23.34) hit all 12 milestones; rescinded by Delaware Chancery (Tornetta v. Musk, Jan 2024, ~$56B) then reinstated by the Delaware Supreme Court (Dec 2025); Musk exercised all ~304M options Jun 16 2026 (shares restricted, multi-year lockup). A 2025 interim award (96M shares) was forfeited once the 2018 award delivered. A new 2025 CEO Performance Award (up to ~423.7M shares, requiring up to an $8.5T market cap and milestones like 1M Optimus robots) was approved by ~75% of the vote Nov 2025.

#### GOVERNANCE FLAGS

- single class of stock (one share, one vote) — no super-voting; Musk ~13% direct economic stake (rises to ~20% after the Jun-2026 2018-award exercise, up to ~28-29% if all granted awards vest)
- Delaware Chancery rescinded the 2018 award (Tornetta v. Musk, Jan 2024) finding the board not independent of Musk on pay; reversed on appeal (Dec 2025)
- board-independence concerns: directors include brother Kimbal Musk and several long-time Musk associates; Musk + Kimbal recused from the 2025 award votes
- Chair separated from CEO since 2018 (Robyn Denholm is Chair; Musk remains CEO)
- related-party web among Musk entities: ~$573M of Tesla revenue from his companies in 2025 (xAI + SpaceX, per the 10-K/A)
- Musk attention split across xAI/X, SpaceX, Neuralink, The Boring Company, and a 2025 DOGE government role (stepped down May 2025)

## THE FOUR LEGS

**People** ●●○○○
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot

**Context**
The 7 Powers analysis

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value, with the robotaxi, FSD and Optimus optionality priced explicitly in the ultra-bull second act, then position-sized. -73.8% vs spot $386.47

**PEOPLE READ**

Founder-CEO economically concentrated (~13% direct, ~20% with the just-exercised 2018 award) on a single-class register, paired with the most-litigated executive-pay record in US corporate history (the Delaware Tornetta rescission then 2025 reversal; a new ~$1T award), a board with multiple Musk ties, a related-party transaction web across his companies, and attention divided over xAI/SpaceX/X.

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# Tesla supporting analysis · disclaimers · glossary

Bear $46.40 Base $83.38 Bull $193.76

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The DCF ignores robotaxi/FSD/Optimus.**
Correct, and that is the point - those cash flows aren't in the auto+energy base, so they sit only in the bull/ultra-bull second act; what you pay above ~$100 IS that optionality, priced explicitly.

2 **Energy storage is real and compounding.**
+25% YoY and high-margin, and it is in the model (the Energy + Services segment) - but at ~26% of revenue it can't carry a ~$1.4T cap; even the bear builds energy in and lands -88%.

3 **Margins recovered to ~19% ex-credits in Q1'26.**
Auto GM ex-credits did recover, but the Q1'26 beat leaned on ~$230M warranty true-downs and tariff relief while FCF turned negative - margin quality, not just level, is the question.

4 **The FSD data flywheel is a real process Power.**
Granted - fleet-scale driving data is a genuine, hard-to-copy edge, which is why the bull/ultra-bull carry a platform multiple; the issue is timing, as unsupervised FSD slipped to Q4 2026 at earliest.

5 **Net cash, no solvency risk.**
$44.1B cash vs ~$1.6B debt (~$42.5B net cash) - immaterial against a ~$1.4T price; the downside is multiple/fundamentals, not survival; this is a valuation-vs-optionality memo, not a distress one.

## FALSIFICATION TRIGGERS

**Bull validation**
unsupervised FSD ships to consumers · robotaxi fleet scales past pilot into paid ride-hail at scale · Optimus reaches volume production · auto deliveries return to growth with margin recovery

**Bear validation**
deliveries decline a third straight year · robotaxi stays a sub-100-vehicle pilot · unsupervised FSD slips beyond 2027 · operating margin stays below ~8% as price cuts continue

**Reframe needed**
if autonomy/Optimus ship and scale into material revenue, re-underwrite as a software/robotics platform (origination lens), not a mature auto maker - that is the only path that closes the gap to ~$1.4T

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Robotaxi / FSD** — Tesla's autonomous ride-hail (~20-34-vehicle pilot) and Full Self-Driving (unsupervised Q4'26+) - the auto-model optionality.

**Optimus** — Tesla's humanoid robot (V3 reveal pushed to ~Jul/Aug 2026, production 'quite slow') - a non-auto TAM only in the second act.

**Deliveries** — Vehicles delivered per period; FY25 1.64M (-8.6%), the second straight annual decline, Tesla now smaller than BYD.

**EV/sales** — Enterprise value / revenue (~14x FY25); extreme for a ~3%-declining, 4.6%-margin auto maker - embeds autonomy optionality.

**FCF margin** — Free cash flow / revenue (~6.5% FY25); whether volume and margin recovery (and, in upper cases, software) convert to FCF.